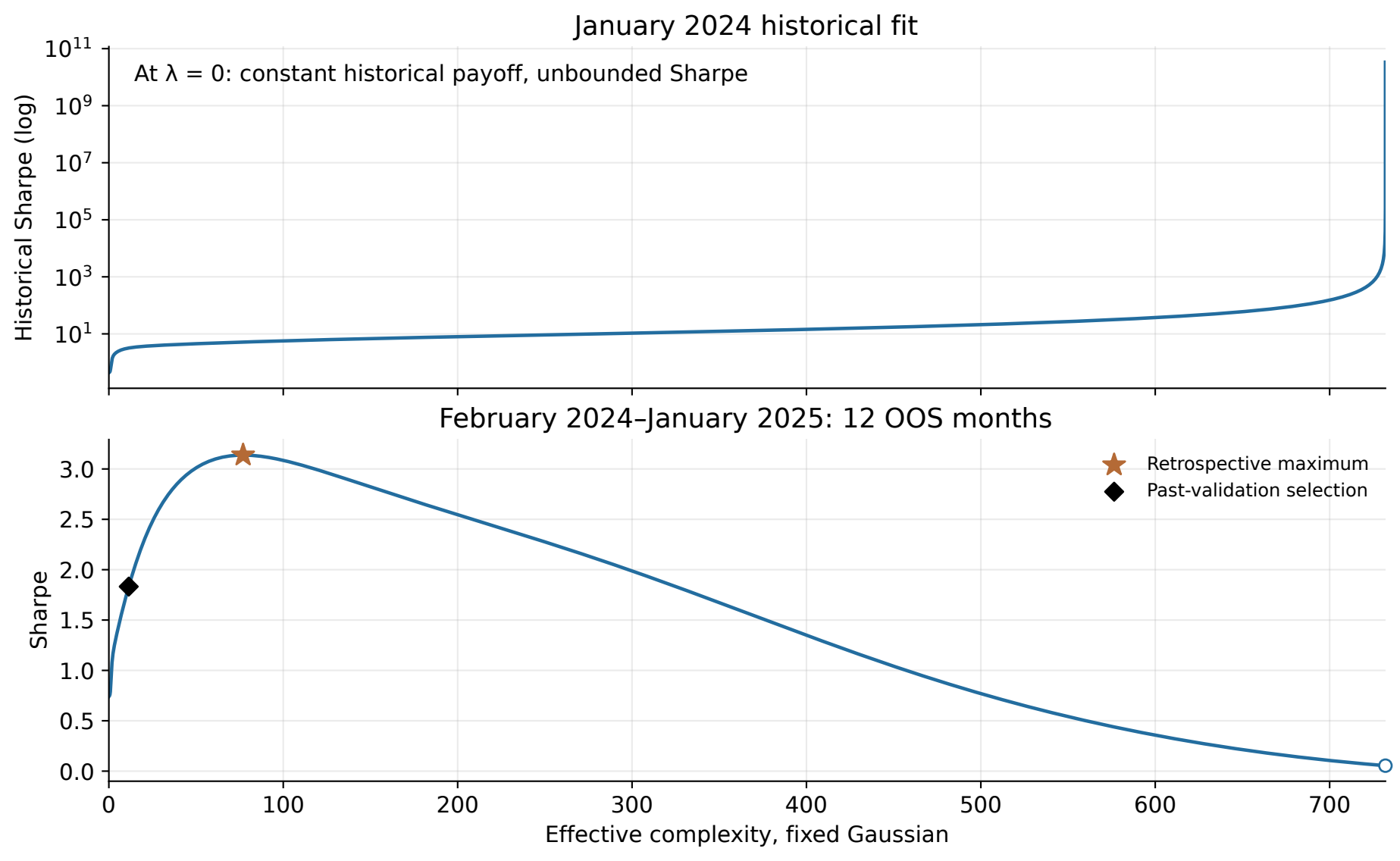
January 2024 historical fit
At λ = 0: constant historical payoff, unbounded Sharpe
Historical Sharpe (log)
10^{11}
10^{9}
10^{7}
10^{5}
10^{3}
10^{1}
February 2024–January 2025: 12 OOS months
Retrospective maximum
Past-validation selection
Sharpe
3.0
2.5
2.0
1.5
1.0
0.5
0.0
0
100
200
300
400
500
600
700
Effective complexity, fixed Gaussian